

Department of Industries and Commerce



The rate of industrial growth experienced by a region is the true indicator of the economic development of that region. PIPDIC's mission to help Puducherry achieve economic stability is well-complemented by the efforts of the Department of Industries and Commerce.

This department offers a variety of incentives encouraging investors to choose Puducherry as their industrial destination. To capitalize on the IT boom, the Department of Industries invites Information Technology Industries to Puducherry by offering them a fixed investment subsidy on Plant and Machinery at 20%, subject to a maximum of Rs.20 lakhs. Also offered is a connectivity subsidy of 50% on the leased line rental subject to a maximum of Rs.10 lakhs per annum for a period of 3 years. Towards the same end, PIPDIC exempts stamp duty on sale/lease of property for units located in the STP, and offers equity contribution/reduction in margin money.

For promoting Thrust Area Industries, the Department of Industries offers an investment subsidy on Plant and Machinery at 35% subject to a maximum of Rs.30 lakhs for SSI, and 20% subject to a maximum of Rs.20 lakhs for LSI and MSI. The industries that benefit from this subsidy are: Electronic industries, Bio-Technology industries, Food processing industries, Agro processing including marine products, leather products and footwear, light engineering including auto components, and textiles including garments.

A state or Union Territory can witness all-round development only when it provides its people with equal growth opportunities, without discriminating based on caste, creed, or gender. True to this statement, the Department of Industries and Commerce offers numerous incentives to encourage women, and people from the SC/ST communities, to start small-scale industrial units. Besides a 25% investment subsidy on capital investment such as land, building, and machinery (subject to a

maximum of Rs.25 lakhs), a rent subsidy is also available to them, which is 50% of the rent for the first 2 years, 40% for the third year, and 30% for the fourth and fifth year. This is subject to a ceiling of Rs.5000 per month.

To IT and Thrust Area industries, and those started by women and SC/ST investors, the Department of Industries and Commerce provides an interest subsidy at 25% of the annual interest paid for a period of 5 years (subject to a maximum of Rs.75,000 in any financial year). Likewise, the department also provides them with a wage/employment subsidy at 20% of the wage/salary for a period of 5 years subject to a maximum of Rs.5 lakhs.

Furthermore, the Government has setup a District Industries Centre that lends a helping hand to impoverished artisans. The centre gives a new lease of life to vanishing handicrafts, and also provides systematic training to the artisans in new techniques, so as to enhance crafts sales. Apart from developing the handicrafts industry, the centre also enables the unemployed youth to find gainful employment by providing inplant training to them, and by arranging loans for them under the Prime Minister Rozgar Yojana / State Loan Scheme. An Entrepreneur Development / Management Training Programme is also being conducted by the centre to enable the young entrepreneurs to handle their companies better. Training is also imparted to coir artisans in order to create self employment.

While subsidies, interest rebates, and loans can clear the financial worries of tomorrow's business tycoons, the intricate technical formalities that need to be fulfilled before a project gets going can sometimes dampen the spirits of these ambitious young men and women. In order to avoid such an eventuality, The Government of Puducherry has instituted the Industrial Guidance Bureau that serves as a single point contact system for obtaining industrial clearances from various departments / agencies.

